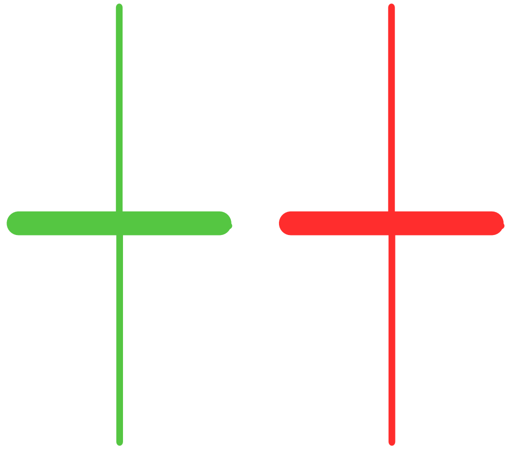
Pattern 1 DOJI

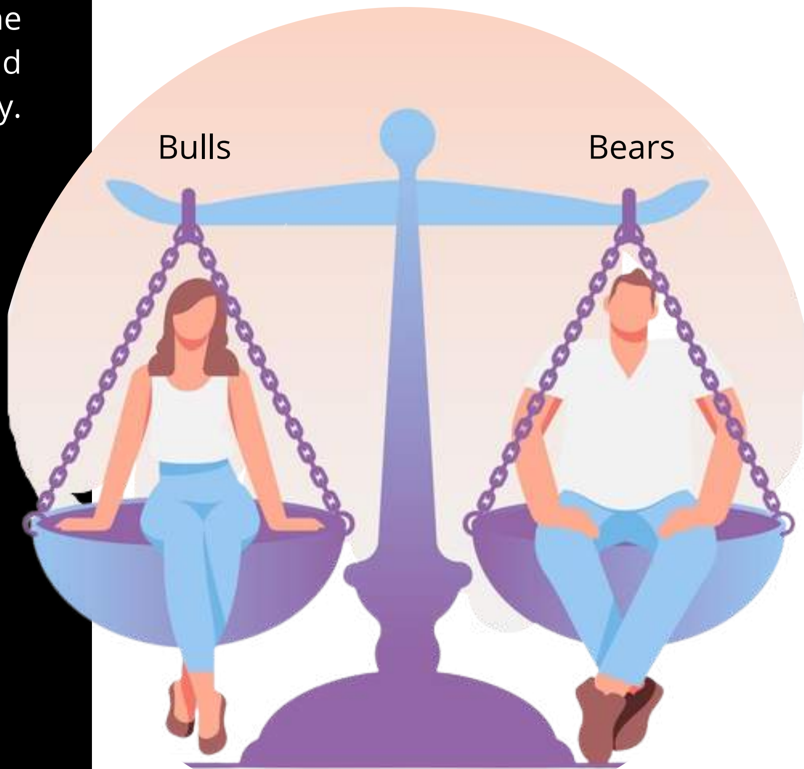
Doji is a pattern formed by a single candlestick in which the opening and closing price of the candlestick intersect resulting in a very short body. The upper shadow and lower shadow are present along with a very thin candle body.

We see in the sample image below that the Doji candlestick has a really small candle body and a relatively larger upper and lower shadow. The length of various upper shadow and lower shadow can vary.

WHAT IT INDICATES?

Doji is a signal for uncertainty in the market. The bulls and bears have similar strength at the moment as both now have conceded space. They have also recovered from the other in the market. The bulls were able to get back from the period's lows and bears were able to get back from period's high. As a result, Doji signifies a market where both bulls and bears have equal hold.





HOW TO USE?

Doji is a signal for a trend reversal in the market. For example, when a market is in a strong uptrend, it means that the bulls have more power at the moment. However, when the bears form a Doji here, it means that the bears are gaining back market power. If this continues, the bears will soon have more power over the market than the bulls and a reverse movement of the price will begin.